

Exhibit 24: Large-cap equity mutual fund outperformance between January 1991 and December 2009

	Rolling Five Year		Rolling Ten Year	
	Equity MFs	BSE 100 ⁸	Equity MFs	BSE 100
Average Returns ⁹	17.4%	14.3%	17.4%	13.3%
Median Returns ¹⁰	14.5%	9.8%	15.8%	14.7%
Standard Deviation ¹¹	14.4%	14.0%	7.1%	4.8%

Source: www.mutualfundindia.com, Ambit Capital. There are 2659 and 1405 data points used to calculate the return parameters for five- and ten-year holding horizons above. Each data point is the past five- and ten-year annualized return as on that date.

However, when we did the same exercise for the period January 2010 to February 2017, the script changed dramatically ([Exhibit 25](#)). In this seven-year period, there is hardly any alpha left. Given that the index does not carry the effect of dividend returns, actively managed large-cap equity funds in India have actually underperformed the index between 2010 and 2017. So there is actually a negative alpha!